

Against the backdrop of a potential Indian market for semiconductors, industry leader Fujitsu Semiconductor Asia Pte Ltd (FSAL), a 100 per cent subsidiary owned by Fujitsu Semiconductor Limited, aims to push the technologies boundaries, actively seeking new ways to leverage its expertise in response to the ever-changing market demands of the Asia-Pacific region. Collaborating collectively on its distinct strengths and expertise, Fujitsu Semiconductor is a one-stop centre for its semiconductor products to all customers. It also offers flexible business and system solutions for automotive, industrial, consumer and wireless markets.



Fujitsu's India office

We see India as our top priority and believe it to be a fascinating market



Junshi Yamashita, president,
Fujitsu Semiconductor Asia Pte Ltd

In 1990, FSAL established its sales and marketing division in Singapore, which started operations in the Asia-Pacific region. Its other global branches are in India, Malaysia, Indonesia etc. Junshi Yamashita, president, Fujitsu Semiconductor Asia Pte Ltd, who was the president of Fujitsu India Limited from 2003-2007, took over the Asia-Pacific region operations, including India, for semiconductor business in Singapore in 2010 and shifted to Delhi from Singapore in 2011. He now takes care of the Asia-Pacific region operations along with Australia and New Zealand from India.

In an exclusive interview with EFY, Yamashita talks about the potential market in India, and Fujitsu's marketing strategy to explore it.

How important is the Indian market for Fujitsu?

We see India as a very important consumer market, and hence a potential market for business. As India is seen as

a booming market, every country and important companies have their eyes on India and thus its priority is growing. As a result, although we face many difficulties in doing business in India, we are ready to face the challenges as we want to explore this market. This is the reason why I shifted from Singapore to India, as Fujitsu is committed to serve India.

There are two types of businesses in India—one is direct business which comes from Singapore. The other is through our partners which includes distributors, design houses and tier 1 companies who directly sell to the end users, which includes MNCs like Tata, Maruti Suzuki, etc.

What marketing strategy have you been following in India?

About 80 per cent of our business is through direct sales and only 20 per cent is through partners. Our existing partners help us penetrate into the market better. At present, we are trying to increase our partners in India to increase this share of business. Our main strategy is to appoint medium and small (tier 2 and 3) distributors who are strong in their segments and in their regions.

Which are the sectors you are targeting in India?

Right now, the automotive sector is the biggest business domain for us in India; other market focuses are industrial, consumer and wireless, which we cater to with MCUs, energy meters, AC-DC converters, etc.

What business target do you have for India in the next five years?

Within three years, we plan to increase our revenue three times.

As a semiconductor company, where do you position yourself worldwide?

Worldwide, we are not in the top 10 companies, but in Asia, we have a bigger share and our business is increasing fast in China and the Asia-Pacific region. Our India business is also growing. Compared with 2011, our revenue grew by 40 per cent last year, despite a weaker Indian rupee rate.

How do you reach out to your customers?

We try and meet as many customers as possible to understand their requirements. Also, we try to find out how our competitors are targeting the customers so that we are able to do something better and different. Also, we try and replicate the success stories of our sister companies all over the world.

Since Indian customers are cost sensitive, are your products in India priced lower than other countries?

The price of our products is the same worldwide. However, for customers who are committed to us, we offer discounts if they enter into long-term contracts. But we never lower the price of our products with compromise on quality. In addition, we do not just sell chips but offer solutions to the customers, which is the edge that we have over others. ●